Auditors

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1

Application and Definitions

1.1

This Part applies to:

1. (1) every _firm_ ; and
2. (2) the external auditor of such a _firm_ (if appointed under 2 or appointed under or as a result of a statutory provision other than in _FSMA_).

1.2

In 1.1, where _firm_ refers to a _managing agent_ , it applies in respect of the _managing agent?s_ own business and in respect of the _insurance business_ of each _syndicate_ that the _managing agent_ manages.

1.3

In this Part the following definitions shall apply:

annual reports and accounts

means

1. (1) (in relation to a company incorporated in the _UK_) its annual accounts and reports as defined in section 471 of the Companies Act 2006; or
2. (2) (in relation to any other body) any similar or analogous documents which it is required to prepare whether by its constitution or by the law under which it is established.

accounting reference date

means

1. (1) (in relation to a company incorporated in the _UK_ under the Companies Acts) the accounting reference date of that company determined in accordance with section 391 of the Companies Act 2006; or
2. (2) (in relation to any other body) the last day of its financial year.

balance sheet total

means the aggregate of the amounts shown as assets in the balance sheet.

ultimate parent undertaking

means, in relation to a _firm_ , an _undertaking_ that:

1. (1) is a _parent undertaking_ of the _firm_ ; and
2. (2) is not a _subsidiary undertaking_ of another _undertaking_.

2

Appointment of Auditors

2.1

A _firm_ must:

1. (1) appoint an auditor;
2. (2) when it becomes aware that a vacancy in the office of auditor will arise or has arisen:
1. (a) notify the _PRA_ ; and
2. (b) give reasons for the vacancy,
3. without delay, using the form referred to in Notifications 10.3;
4. (3) appoint an auditor to fill any vacancy in the office of auditor;
5. (4) ensure that the replacement auditor can take up office at the time the vacancy arises or as soon as reasonably practicable after that; and
6. (5) when a new auditor is appointed:
1. (a) notify the _PRA_ of that appointment; and
2. (b) advise the _PRA_ of the name and business address of the auditor appointed and the date from which the appointment has effect,
7. using the form referred to in Notifications 10.2.

2.2

Where a _firm_ that is not under an obligation to appoint an auditor imposed by an _enactment_ other than _FSMA_ fails to appoint an auditor within 28 days of a vacancy arising, the _PRA_ may appoint an auditor for that _firm_ on the following terms:

1. (1) the auditor to be remunerated by the _firm_ on the basis agreed between the auditor and _firm_ or, in the absence of agreement, on a reasonable basis; and
2. (2) the auditor to hold office until he resigns or the _firm_ appoints another auditor.

2.3

A _firm_ must comply with and is bound by the terms on which an auditor has been appointed by the _PRA_.

3

Auditors? Qualifications

3.1

Before a _firm_ appoints an auditor, it must take reasonable steps to ensure that the auditor:

1. (1) has the required skill, resources and experience to perform its functions under the _regulatory system_ commensurate with the nature, scale and complexity of the _firm's_ business and the requirements and standards under the _regulatory system_ to which it is subject; and
2. (2) is eligible for appointment as an auditor under any applicable laws.

3.2

A _firm_ must not appoint as auditor a _person_ who is disqualified under Part XXII of _FSMA_ (Auditors and Actuaries) from acting as an auditor either for that _firm_ or for a relevant class of _firm_.

3.3

A _firm_ must take reasonable steps to ensure that an auditor, which it is planning to appoint or has appointed, provides information to the _PRA_ about the auditor's qualifications, skills, experience and independence in accordance with the reasonable requests of the _PRA_.

4

Auditors' Independence

4.1

A _firm_ must take reasonable steps to ensure that the auditor which it appoints is independent of the _firm_.

4.2

If a _firm_ becomes aware at any time that its auditor is not independent of the _firm_ , it must take reasonable steps to ensure that it has an auditor independent of the _firm_. The _firm_ must notify the _PRA_ if independence is not achieved within a reasonable time.

5

Firms' Cooperation with their Auditors

5.1

A _firm_ must cooperate with its auditor in the discharge of the auditor?s duties under this Part. In complying with this rule, and in each case subject to section 413 of _FSMA_ (Protected items):

1. (1) a _firm_ must give its auditor a right of access at all times to the _firm?s _accounting and other records, in whatever form they are held, and _documents_ relating to its business; and
2. (2) a _firm_ must allow its auditor to copy _documents_ or other material on the premises of the _firm_ and to remove copies or hold them elsewhere, or give the auditor such copies on request.

5.2

A _firm_ must take reasonable steps to ensure that:

1. (1) each of its:
1. (a) _appointed representatives_ ;
2. (b) suppliers under a _material outsourcing_ arrangement; and
3. (c) _tied agents_ ,

where applicable, gives the _firm?s_ auditor the same rights of access to their own books, accounts and vouchers, and entitlement to information and explanations from their officers as are given in respect of the _firm_ by section 341 of _FSMA_ (Access to books etc); and

1. (2) all its employees cooperate with its auditor in the discharge of the duties of the auditor under this Part,

in each case subject to section 413 of _FSMA_ (Protected items).

6

Notification of Matters Raised by Auditors

6.1

A _firm_ must notify the _PRA_ if the _firm_ expects, or knows, that the auditor will qualify the report on the audited annual financial statements or include any emphasis of matter.

7

Duties of Auditors

7.1

An auditor of a _firm_ must cooperate with the _PRA_ in the discharge of its functions under any _relevant legislation_.

7.2

An auditor of a _firm_ must give a _skilled person_ appointed by the _firm_ or appointed by the _PRA_ in respect of the _firm_ all assistance that _person_ reasonably requires.

7.3

An auditor of a _firm_ must be independent of the _firm_ when performing duties in respect of that _firm_.

7.4

An auditor of a _firm_ must take reasonable steps to be satisfied that no conflict of interest exists in respect of that _firm_ from which bias may reasonably be inferred. The auditor must take appropriate action where this is not the case.

7.5

An auditor must notify the _PRA_ without delay if the auditor:

1. (1) is removed from office by a _firm_ ;
2. (2) is formally notified of such removal from office;
3. (3) resigns before the term of office expires;
4. (4) is not re-appointed by a _firm_ ; or
5. (5) is disqualified from being the auditor of:
1. (a) any _undertaking_ or particular class of _undertaking_ ; or
2. (b) any _firm_ or particular class of _firm_.

7.6

In the circumstances set out in 7.5, the auditor must notify the _PRA_ without delay:

1. (1) of any matter connected with the removal or ceasing of the office of auditor that the auditor thinks ought to be drawn to the _PRA?s_ attention; or
2. (2) that there is no such matter.

8

Written Reports by Auditors to the PRA

8.1

This Chapter applies in relation to _annual reports and accounts_ with an _accounting reference date_ on or after 1 November 2016 but 8.3")(2) and (3) and 8.3A apply only in relation to _annual reports and accounts_ with an accounting reference date on or after 31 December 2018.

8.2

Unless otherwise stated, this Chapter applies to an auditor of a _firm_ that:

1. (1) is a _UK bank_ or _building society_ ;
2. (2) is not itself the _subsidiary undertaking_ of an _undertaking_ that is not an _UK undertaking_ ; and
3. (3) meets at least one of the following criteria:
1. (a) it has an individual _balance sheet total_ greater than £50,000,000,000; or
2. (b) it is a member of a group that has a consolidated _balance sheet total_ greater than £50,000,000,000,

as at the last _accounting reference date_.

8.3

An auditor must provide annually a written report to the _PRA_ in relation to:

1. (1) a _firm?s_ audited _annual report and accounts_ ;
2. (2) where a _firm_ has an _ultimate parent undertaking_ , the audited _annual report and accounts_ of the _ultimate parent undertaking_ ; and
3. (3) where a _firm_ is a _ring-fenced body_ and there is a _ring-fenced holding company_ in relation to the _firm_ , the audited _annual report and accounts_ of the _ring-fenced holding company_.

8.3A

But an auditor is not required to report in relation to the audited _annual report and accounts_ of the _firm?s_ _ultimate parent undertaking_ if the auditor is not also the auditor of the _ultimate parent undertaking_.

8.4

The report in 8.3 must:

1. (1) be provided within 120 days beginning with the relevant _accounting reference date_ ;
2. (2) provide information about key judgment areas, including:
1. (a) matters of valuation;
2. (b) quality of earnings;
3. (c) key accounting judgments; and
4. (d) the quality of the systems and controls relevant to the preparation of the _annual report and accounts_ ; and
3. (3) be prepared with due skill, care and diligence.

8.5

An auditor must consult with the _PRA_ in advance of preparing the report.

8.6

A _firm_ must cooperate with its auditors in preparing the report.